

Transcript

Hey Ori, how's it going? Can you hear me?

Hey, Brett. Hey, can you hear me? If you want, we can go to the Google Meets if that's. Okay, so how's it going? Sorry. I think my my zoom is being extremely like laggy right now, but hopefully you can hear me I might be like my camera might be frozen

Your camera's not frozen. It's just like super laggy. But if I'm not laggy for you, you know, you can go camera off. It's fine if you want. Let's try that. It works. Let's try that. Give me a second here.

Are you on like public Wi-Fi right now? Yeah, yeah, I'm at... The cat? Yeah, who's the cat? And I'm on like public Wi-Fi right now and my Zoom is like not having it.

Yeah, she's my she's my COVID baby. I got her during COVID so she likes to sit on me all day during work. Nice nice, that's awesome. What's her name? Oats. Oats. Like Oats Overnight. Is there an origin to that name or just for the love of the game? It was like a default name and then we were going to change it. But then the other cat I have named Muffin. So, okay, now you look less laggy. Okay, perfect.

Yeah, my ping is low. Awesome. Yeah, well, it's great to meet you, man. I think you've spent time with Brandon and Patrick. I'll just do a quick intro. My name is Pratt. I help run our East Coast office here. And I've spent a lot of time in the kind of interesting space that you're working on.

I'm an angel investor in a company called Design Arena, which is like a creative benchmark used for a lot of the model labs. and have been kind of researching a lot about the RL environment space and really keen to kind of learn more about you guys and it's a unique story as like pro gamers that have like decided to go into the AI space so we'd love to hear about all that too.

Yeah, for sure. So basically, I've always been gaming. It was sort of my main thing, like my whole life. Like I was like a high yellow chess player when I was like 10. And from there I went to like Call of Duty because I wanted to play more mechanical.

Then I ran a bunch of like massive guilds and Guild Wars 2, which is like kind of like, wow. Um, and then I became a Pro League Legends player when I was 19 till 21. Um, and then I streamed for a bit. I got like this cool headset set up from way back. Um.

But I didn't like it ultimately. I realized that the future really wasn't there for me. I didn't really believe in esports as a future, both for me, cause I was sort of capped at like top 30. I couldn't like break to like top 10, but also cause I saw streaming sort of being the offshoot of that.

And I didn't really want to do it. So I met my co-founders, my first company in college. I went to McGill. Are you Canadian? I'm in Toronto right now. I'm Canadian. Are you? No, no, no. I have a bunch of Canadian friends from Toronto. So it's just, yeah. Yeah.

I actually like the way I met your fund was through StartX. I mean, I'm one of the few non-Stanford affiliated founders in StartX. Sure. Through my last company. So that's why I found you guys. But I've been trying to make my way into our staff. I'm going to get an OI once you raise a round because I definitely am tired of the.

I don't know. Lack of ambition in Toronto, I'd say. Yeah. Do you guys have a coheres up there? And then the company I built before is backed by a Toronto-based fund called Radical Ventures. Yeah, I've talked to them. They're awesome. Yeah, yeah. I'll talk to Andy from there, Andy. OK, yeah, we know Molly really well. She's on that stuff. Yeah, they're cool. They I had a meeting with them like earlier on.

We ended up getting offers at a 30 million cap, but I didn't want to raise the whole round on that. So the lead basically wanted to put in two at a 30. I didn't want to do that. So I just, this is like a week and a half ago. So I delayed it and I've been taking angel money since then. So I raised about 150k on angel funds. But yeah, basically context for me. So like I didn't want to do pro gaming. I met these two guys in the neuroscience program at my college and they were developing this really cool technology around making caffeine more soluble in water.

Significantly more soluble, such that a single spritz is equal to half a cup of coffee. So this is what the product looks like now. All day. Basically, you spray it under your tongue, and it absorbs in a minute. Because normally coffee takes 45 minutes to absorb.

So the invention essentially was to make it so that a caffeine spray would hold enough caffeine per spritz that it would actually be functional. Because typically it would be capped at 2 or 3 milligrams. With our tech, you'd get up to like 50 milligrams if you wanted.

We're at 30 because if you go too high, it tastes like shit. It's caffeine. But yeah. So worked on that product for a while. I started as COO. My co-founder and CEO quit about a year and a half in just because we had a bunch of failures on our production side.

So I essentially had a choice. We were letting the company die or taking over. So I took over as CEO around early 2022. Then I managed to raise some money. I didn't really know what a VC was, like our startups were at this point. I just had no exposure to the environment.

I eventually learned I raised about \$2 million from Draper Associates and some CBG funds. Our first investor actually was the first employee at Juul, the vape company. And he became like my mentor and actually now he's the CEO. Actually, he asked him to take over for me about a year ago. So that's where my background, I've always been on like the creative side, like I was the youngest published playwright in Toronto.

I made this Jack and Jill multivariate story of read the same thing with different actions. It was pretty crazy. I was 14. I made an incest story. I don't know what I was thinking, but I got it

published. And then I also wrote a couple of books in my early 20s. And then, yeah, to getting AI to an AI company.

Essentially I was trying to figure out how can I create a game system that would leverage my like something that would actually be valuable for my past experiences. So one of the biggest issues we had was constantly working with different Creative sourcing agencies so they would like script right and then they would like get actors or creators whatever to come and then they would film with them knows this whole lengthy process it would take like a month to get like five videos. And it would cost a ton of money.

So this was a huge issue for us. And I realized that if we were to take a model similar to 99designs, which is sort of the original design arena concept. I don't know if you've heard of them. I'm not sure if you know. Yeah, you can like make like logos as a competition. Yeah, I talked to the co-founder because I wanted to understand why they feel like, I had a feeling but he confirmed it. Basically, the problem with logos is that you only need one.

But with marketing, you can have 10 or 20 or 30 winners. So actually, if you follow the Pareto principle, you don't want to solve for just one out of a hundred. You want to solve for like 20%, since those are the ones providing all the value. And that's what we're doing, because per contest, the lowest we would have is 10 winners.

And typically it'll go, usually it's 20 or 30 winners per contest, depending on how much the brand pays. So yeah, basically that's how I thought of it. I thought of the concept in August. I reached out to a bunch of brands the next two months, November. We flew to SF to just lock in, ran our first two contests.

It was basically on like a, I told them like, if it doesn't work out, I'll give you guys a refund. It was \$2,000 for each contest. Now both of the brands are actually returning on higher pay. But yeah, it's been pretty crazy. We launched a Discord in November.

We had zero users. Now we're up to 1,700 users in the Discord and over 2,000 total. We've worked with seven or eight brands at this point. The average brand is spending, like an easy sell for us, is spending over \$200,000 a month on paid ads. So for them, \$8,000 for 20 ads is an easy sell.

Essentially, we've been sort of learning like, what is it that brands actually want out of the process? Like, we've learned, like, we just did a contest with Myobvi. They're like a hundred million dollar women's supplement brand. And they essentially were like, yeah, we love the top ones. But we hated going through the process. Because they got 150 videos. They didn't want to see all that trash. Because, like, obviously, like, the bottom...

50% is pretty bad. So, we're learning, like, okay, we actually don't want to show you guys all the videos, but less work on you, actually more work on us just to, like, you know, sort out what's the best videos, hand it to them, and then sort of, like, let them do, like,

Probably like a Tinder-style swiping if they want any additional videos. Something like that. We're testing stuff. But yeah. It's been a lot of building. It's been extremely quick. We are trying to figure out... Essentially, who the best partners for us to bring us investors. So like, I mean, I know that the VC game is like asymmetric information. I'm in stacking in one week, I've learned the SF method

We see back trends, but I will tell you like out front, like Verdict Capital is like one of my preferred leads. I have a couple others that I really like, but I'm a huge fan of Nico Penazos. Have you already spoken to Nico? We've been in touch for like two months. He was one of the first people I talked to about this. And he basically told me like he wants to lead as soon as he has the funds because he's raising right now. Yeah.

But I mean, like I told you in the email, I want to raise on essentially like laddered saves. I mean, I'm curious what you think about this because I've talked to some VC back friends about it and I've heard different ideas, but. Yeah, there's a lot to talk about. I don't know, should I show you the platform? Is that helpful? It's actually give you a visual? Yeah, happy to look there. If you guys, if you don't spend like 10 minutes talking about the strategy, happy to like also.

Six on 35 from GC and then they had an extra one from Soma Capital at like 40 or 50. And they just did that stacked kind of valuation based on that. So especially once you have your lead set and the terms that you're satisfied with, it's very easy to get the...

The higher, like, follow checks from people who are like, I want to back you, but then make them pay the price premium for not being the first check-in, right? That's what I'm, yeah, so I was thinking. Well, I talked to my friend Tejas from Abundance Company. I don't know if you know him. He was part of [build.ai](#), the Eddie Lee guy. He was a co-founder on that. And then he's now doing his own thing.

Yeah, he left recently to do his own thing. I've known him since he's like 22. I've known him since he was like 20 and did his first company. He's an angel investor. I got a few small founder friends, like Max from Superpower is an angel. My friend Eric from VREO is an angel. And then also I've got some bigger name angels like Mark Randolph. I saw that on your deck. That was pretty impressive.

I pitched him on a TV show three years ago, Dragon's Den. It was like Dragon's Den. It's called Elevator Pitch, Elevator Pitch. Essentially, it's exactly like, well, we were also on Dragon's Den, but it was this one was for your CBG brand. Yeah, so for Dragons Den, I wasn't the one who pitched

on it, but my company did for Entrepreneur Elevator, because at that point I was COO. But then for this thing, they only allowed two people because of COVID. But for this one, it was in 2020.

Middle 2022, I went to Miami and I pitched him. Basically, it's like you go into an elevator, and it's a fake elevator, obviously, but pretend that it's going up, and you have 60 seconds to make your pitch. And then two to three investors have to say yes.

And if they do, they push you to actually talking to the investors. If they don't, you don't get to talk to the investors at all, which I think is kind of crazy. So we are co-founders for a bit, and I realized that it's better not to be co-founders with someone who's working, like, you know, one or two hours a month. They're better as an angel slash advisor.

So we're on great terms, but I didn't love him as a co-founder. Okay, makes a lot of sense, yeah. But yeah, let me share the platform so you can just see. I can show you from both sides. I'll show you the creator side first. Um, and yeah, like everything we've done actually, I should stop sharing and share with audio. I'm realizing I didn't do that. Um, everything we've done has been like, uh,

Extremely, um, I should go back here. Everything we've done has been extremely just like a

Fast, I guess. We had a landing page in November. December, I built an entire website by myself. We just hired our first engineers, so now we're actually able to build out more features on the platform. So, for example, we have a creator studio that's fully functioning now, where you have all the top models, where you go image, video, upscaling.

We're building motion cap and storyboarding. We want this to be like the baseline, but we're actually building a lot of like agentic tools. Cause I think one of the key things we're realizing with these contests is that if we want to actually increase like the CV, we actually have to have to have more ads to test to confirm that they're performing well.

And that means. Sort of giving templates for things that work to our creators so that they're the more like newbie ones can actually create value. So, I mean basically it's how the platform looks like when you see the live contest here residents launching this week so that's our upcoming one.

We just ended a contest with Obvi. I don't think we announced the winners yet. But you can see basically some of the community picks over here. So this is an example of a video. You need massive amounts of food every single day to support So basically you can like see through all of them. We have them rated by peer review. So we do peer review first. We want to move to like a more like

I guess like data-rich models, so like basically doing meta ads testing ourselves. So eventually what that's going to look like with our top performing brands is we'll actually pay for the contest and we'll pay for testing, but they'll commit to the minimum amount of spend and then we'll take a rev share on it.

So it's similar to like Tube Science, if you know them. They're like the biggest meta ad spenders in the world. I think they're 5% of meta ad spend is through them. And they do that exact model. Difference being that they have a production studio to create all their ads, whereas we use AI video creators.

But yeah, essentially after a contest is done, there's like this judging panel where you can like go and judge. We don't have any because it just ended. You can see like our past winners here. There's a creator leaderboard so you can see like all the top people who performed and what videos they've made.

Um, and yeah, that's basically it for the brand side. Um, we're projecting to have two contests per week this month, so we'll be anywhere from 600k to a million. And then like Neurables repeating, Pixverse is repeating. So this month will be pretty busy starting, I think, in like either tomorrow or the day after. But yeah, that's basically it from the creator side. And then I can show you from the brand side as well, how it looks, although we're shifting things up.

So this is from the brand side. And I have access to everything. I have an admin account. But essentially, like, if I were to, like, show you, like, Pixverse, for example. Like this is how they would see it. So this is a contest they just ran recently for the real world model and you can essentially see the winners here and then you can go and like look at non winners and like go and watch them and purchase them as well.

through the platform. So, I mean, that's basically how it works. Right now, we actually have a lot of, like, ability. If you're the brand and you're unsatisfied with any of the winners, like, say you don't hit volume, or you don't hit, like, We're like, yeah, it's just like, maybe there's like two submissions or something like that. Do you find that to be like a potential like marketplace style problem or how are you haven't happened yet? Like no one's we no one's like we offered refunds our first few contests and like no one took the refund.

Like everyone bought the winners. Okay. Um, and what's your business happened yet? What's the business model for you guys on this? So right now it's an operating fee. So for an \$8,000 total, we'll make a \$5,000 contest, take \$3,000. But part of the reason we want to raise money is we want to either

It has been edited to include proper punctuation. They're getting like AI generated content for their advertising and marketing. Do they feel like they're getting the right bang for their buck? Yeah, so I'll be just like, I just talked to all the founders about it yesterday. They liked it. They're going to do it again.

The only thing they had, they didn't like was that they didn't like, cause they got the most submissions we've ever got. Like before them it was 90 and now they 150 submissions. Okay. So for them, what they didn't like is I told them, Hey, go through it and pick your short, pick your

winners, basically like your top 20. And they did that, but they took, they said it took them like an hour and a half, two hours to do it. And they were like, this process sucked.

Like, I didn't want to go through the bad stuff. Like I just not see it. So it's like a crack source ranking. Then they just picked like the top. How does that work? What we're going to do is, we learned from this, essentially before they would go through and they would have to shortlist them and assign those winners, but it was too much work. Instead, we're going to A, increase the number of peer reviews, so the amount of people actually reviewing it, whether it's actual creators or even paying people to data label, essentially.

It's like a low-cost Mechanical Turks kind of thing. We'll do that, but we're also what we're going to do is make it so there's a lot less brand involvement. So basically, we're going to say, hey, each of the top performing videos, you paid for 20, here's your top 20. If you want to check the next 10, we'll get them into buckets, you can check the next 10 and go through each one.

But essentially, I don't want them to look at the bottom ones at all. Because if they're looking at the bottom ones, it's going to be a bad experience. And we should basically push them away from doing that is what I've learned recently. Yeah. What's the coolest ad you've seen generated on the platform? Probably from my favorite ad from Bark Air in the Anthem contest. So we did our own contest. We tested where we basically said.

We had like an Excel sheet and we're like, pick a brand you want to make an ad for. So we did this basically to then reach out to these brands and like for the good ads and send them over. I think this ad is probably our best ad, in my opinion. Who's a good boy? Just in terms of like, it doesn't look AI at all, and it's extremely high quality, and it's just really smart. It's for this thing called BarkAir. So BarkAir, BarkBox is like a public company, and then BarkAir is like a private airline that allows dogs.

Yep. It's about a dog went to Paris and I thought this is like one of my favorite ads. Oh yeah, it's pretty good.

He actually improved on it too. He sent us like a better version because he like just minor he's like perfectionist And how much creator effort does it take to generate these are they all generate them in in house with your platform are they importing video

They're gonna eventually have to do it in-house, but we haven't forced that and we only unlocked the creator studio like a week and a half ago. So before that, so our first ever contest we partnered with Poyo AI and basically gave people credits because our concern was are people going to want to actually spend their own money on a chance of winning?

Right? Cause it's like, they're going to lose money for sure on compute costs, but are they, they might not win. But then we basically stopped doing that and stopped giving free credits and we still got a ton of submissions. We realized that wasn't actually a blocker.

That said, we can incentivize peer review through credit. So that's what we've been doing. So if they complete, they're like they're getting 15 randomized videos a day. They earn credits by doing that. And it gives us more of a view to then show the brands, like, hey, these are the ranked ones. This one got like 10 up votes versus three down votes or whatever. And you guys touch a couple of different categories here.

Who do you see yourselves as like the closest, who are your closest competitors? And where do you guys try to? It's hard to say. Maybe Superside, but they're like an in-house agency model. They're probably the closest one. There's tons of UGC farms, which is just like AI Video Influencer accounts, and then they make stuff.

But I think that mark is just so saturated and low skill that I just don't really care about it. Like we have a motion cap and stuff as a, for me, it's like, if you're going to do AI UGC, you have to have something that's more creative about it. Like you can't just have a hawk girl, like using some makeup.

It has to be a hawk girl with like a tentacle arm using some makeup to like actually stand out. Sure. Like you have. So like, that's, that's what we're trying to do. We're trying to basically make it so all of our videos actually stand out relative to like the standard AI UGC stuff.

And that's why for us, it's like the people that we're recruiting, we're not just trying to have like 100,000 users. Like we grew to almost 2,000 really fast, but all these are headhunted. So I have a team of people that actually live in all the top discords and reddit's and x and they go and they bring in all the top creators and they only focus on people who actually make good content.

So what's in it for those creators? Why not? Why can't they just go direct run? They just, you know, how are you identifying? I mean, they could a lot of a lot of them. Yeah, a lot of like this guy. Like this guy from who made Bark Air, his name is New York Robots. He's like our best creator. He's won like multiple contests. He's like number one for us right now. And he charges, I think like 10,000 to \$20,000 for a video if you go to him directly.

Yeah. Our contest, the highest one I've ever done was \$5,000. So he's competing for a huge discount. And I think the reason why they do that is not for the money. It's because of the gamification. So when they start off with the game, he's like, I thought just for the love of the game is for the status. Like you actually gain status by playing.

And the idea is that as you keep winning, you actually go up in rank. And if you go up in rank, we actually tie it to utility. So the way to think about it from a competitive game standpoint is that like if you're League of Legends, there's casual games and there's competitive games.

Casual games you play for fun, whatever. That's basically every other video generator model. We're purely competitive games. Every single contest is a match and it's ranked. So, the people who care about their ranking and their status and want to be on top of the leaderboard, they're going to compete for that sake. And the money is like a nice additive to get more creators in and actually have a reason. But really, the money is like an added utility to climbing.

So if you're bronze, the max contents you can enter is \$2,000. If you're silver, you can go up to \$5,000. And it keeps going up like that, where you actually get bigger access to bigger brands and bigger... As you climb up the leaderboard and all those leaderboard climbings are affected by a combination of peer review and meta ads data. So we're trying to essentially like have a robust like ecosystem based on real world performance.

And I think the creators just like seeing their rank go up or down as they perform or don't perform. Got it. Got it. That's awesome. Yeah, I don't think I had any other major questions. I guess the last thing I wanted to understand... Is on the strategy for procuring new brands. Is that just like outreach? Have you gotten any inbound? What's your what's your idea? What are your ideas there?

So we've already got new brands through multiple ways. Part of it's through like contest host to contest host. So we offer like discounts on future contests if they refer us to someone. So that's where we also work with agencies who will give them a cut of the revenue if they use us as a sourcing.

So in that case, we wouldn't be doing the rev share on the ads, but we would actually switch for them. And that gets us access to the brand. And one of the key things that we've been doing is we've been working directly with the founder of Obvi. He's like an investor in us.

And he's one of the biggest people in e-com. Like he runs a huge e-com agency as well. So he essentially warm intros us to whoever we want. And we just have an in-house team producing videos for them. So before you get on a call with them. We have videos ready. And then when we hop on a call with them, I'm like, oh, I already made this video for you guys. It's yours if you want to run a contest. And it's pretty high quality because we have our top creators do it. In doing that, I've had like a 70% hit rate basically with every warm intro.

So warm intro is pretty much always convert as long as the brand is doing Twitter cam up and spend or only talking to people who do Twitter cam up and spend right now. So it's been really easy to onboard brands. The question we've been having is how can we ensure that we're able to have enough creators participate in each contest when we run them simultaneously? And there's

a sort of a ratio we have to manage of how many creators we have who are active relative to how many

contest we have going on at a time. So that's just a matter of like, we have a huge creative growth strategy that's like really important and making sure that ratio is like healthy. Got it. And let's see, I guess this is a cringe question, but I had to ask it.

What's your vision for the company? And where do you want to see this? It's not cringe. I think that so I think people expect it to be like to make like an ad machine. And the only reason I like doing ads is because it gives us real world data. Right, because essentially what we're trying to do is we're trying to create highly structured data. So if it compares to Higgs field, it's completely unstructured data. Everyone's just doing whatever they want. For us, every single creation is based around a contest.

So every single creation is structured into, like, I'm trying to make an ad for this product or this brand or this messaging, and in doing that, we're tracking all the metadata from the brand coming into the platform, giving us their brand and idea, the creator storyboarding with our agent.

We're building, like, a pretty, like, Highly handheld agent tools so they work with the agent rather than the manual creator suite. We track each step of that process and finally peer review and benchmarking through the real world data. So when we have that whole review, what we're doing essentially is creating a system where the agents learn from the humans, then the humans get information back from the agents and what performed, and each contest should consecutively have better and better performance.

And on top of that, we'd be able to train agents on that entire process. The agent can actually ID its own idea, build it, and then compete in a contest against human creators. That's the big vision for me, is I want to actually have, starting in bronze, I want to eventually have the contest be capsuled, so it's like 20 creators instead of, like,

Anyone can enter, and we bring them in. But 15 will be human, and five will be agent. And they won't know who's agent versus human. They won't even know there's agents. And then we'll actually know that we've trained AI to be creative when they're able to, from scratch, get the brand idea, make it its own concept, and then beat these humans at bronze, then silver, and then gold.

For me, the big vision is how do you actually teach AI to be creative? The only way to do that is to create a ton of structured data, and then actually have a benchmarking system to prove that it's actually... More creative than humans from both a brand perspective and from like an ads perspective. And your unique insight is that competition or competitive, this competitive style of creating that in our own environment is the way to do that.

You get way more human data points. That's the whole point. Because every other AI ad company, there's like hundreds of them, and they're all doing the same thing, which is trying to pay better AI workflows so that brands can do it self-serve, so it's cheaper.

Like, a hundred or a thousand variations of, like, different ideas. And then I want to test, like, all the top ones. And then I want to see which performed best. And then I want to run another contest and, like, have more versions of, like, this hook that works or whatever.

So, to me, this is, like, the only way it works. And, like, that's why we've been trying to build fast is because, like, my take on it is, like, our only moat is community. We basically have to build the brand in community. And obviously we'll have workflows and we're building a lot of tech tools too. But I don't know, I don't count that as moat. There's always new tech tools coming out all the time.

I don't think tech tools can really be a moat anymore. And then basically get a lot of brand and creator loyalty. And like, so far that's happening, like our creators and our brands love us. But we're also like basically unfunded at this point. Like we've raised like \$150K. So we're just like, you know, doing the best we can with minimal funds and like.

I think once we raise a solid \$5, \$6 million round, and I actually have my team under one roof and we actually can invest more and create our compute and get tech up faster. I basically think there's gonna be like a race for this market and this market doesn't exist yet. And I don't think like a Higgs field or something is gonna come in and trample on us because they have so much other stuff they're trying to do. Yeah. So that's my take.

Do you feel like there's a... So, one thing that like there's tons of lag on is like there's these legacy, you know, monster brands that spend, you know, billions on advertising, say like a Coca-Cola, Pepsi. Do you feel like they would be the type of customer that comes onto your platform? Or what would have to change for those kinds of legacy monoliths that spend billions on ads? We're not big enough to get them yet. We're hitting the residents and obbies of the world.

Obvi right now spends \$300,000 a month on ads. Typically, they spend \$500,000. And Resident spends like, I think, one to two million a month on ads. Fresh Clean Threads is another one that we're working with, 500 to a million a month on ads. Like those, I want to call them like middle market.

Like there's still big spenders, but like they're past the minimum. Those are our ideal customers. Cause those are the ones that are going to have like all the thought leadership and that we're going to like get entrenched with. Our initial customers are not Coca-Cola or whatever.

We could try. I mean, we're working with Jack Link's. We're working with their \$2 billion company. But I think, I mean, Jack Link's is so much smaller than Coca-Cola, even though they're probably

their biggest company to work with. I think that we will get to them, but I think it'll require us having a community of 100,000, not 2,000 to get there, in my opinion. Do you think there's a saturation point at the community? Because you're trying to select on certain creative quality, etc.

After 100,000, are there really gonna be that many more creators that can be good? Or do you really care at that point because you already have the 2,000 very best, right? The point of the Elo system is that we can intelligently put a certain number of bronze, silver, and gold creators in each contest. So if a brand like Coca-Cola wants to do a more expensive contest and only wants top-end creators and wants a smart, minute-long ad for a Super Bowl, we can just give them 20 gold creators, and the contest will be 100K.

But it just depends on what they want. If they want just a ton of ad variation, and they're like, we just want ideas, then you can have like 100 bronze creators, right? It just, I think it should be dynamic. Right, okay. That makes a lot of sense. That's awesome. And then financing, so you're starting your raise at the end of the month, is that right? Yeah, well it's more that I'm taking intro meetings right now to meet more people, because I've talked to a bunch of funds.

I have a good idea of the funds I want in. But essentially, yeah, I'm just looking for like, I want to meet all my VC back friends who are like investing in us are making intros to their funds. So I'm talking to like, pretty much, I mean, honestly, everyone, we're talking a lot of funds right now.

And mostly it's just like, I want to, the reason I wanted to wait until the end of the month is because I wanted to like, have more time to like, learn more from like working with Aud V and like, we're, we're basically just like improving the platform every day.

So I want to get our revenue kind of like lined up and I want to get like, I want to say, Hey, we did a 600,000 like annualized month or whatever, instead of like a projected one. I want to have our tech fully where it needs to be. I think we will be there at the end of the month. I want to figure out the right partners for us. Awesome. That is super helpful. This has been great to digest.

That's all amazing context. Congrats on everything so far. This is super cool. Really excited for you. I appreciate it. I feel like this is the company I should be building. My last company, I had to take over as CEO. I didn't really want to. Yeah, this time the ball's in your court, right?

You can control all the little chess pieces. Well, I came up with this idea. We were working on a full stack AI customs brokerage because it was a YCRFS thing. My friend from Corgi was doing like insurance and he told me about it. So they just raised like a hundred million. Yeah, yeah, I saw that. So Niko's a friend of mine. He was in my founder community like two years ago.

He told me, just do this. It's working. It's free money. So I found a market and I was doing it. I was cold calling custom brokers all day. And it was extremely just... I was just getting rejected by custom brokers all day, basically, and we were making some money with it.

But like... It was so bad. And then I basically came up with the idea in August and immediately stopped what I was doing and just built the website. And I actually built the website before I showed it to my co-founder. It took me a week. I was like, we're going to do this.

And he was down. This feels like the timing is perfect for it. It wouldn't have been possible a year ago because there weren't this influx of AI video creators, let alone the models being good enough. And then it feels just like... No one has the background for this that I do. No one else was an e-commerce founder for many years and also a pro gamer and also on the creative side. My co-founder, he's also perfect for this. He also was a high-level gamer. He was one of the top squash players in Canada, so very competitive.

I don't know. I don't know how old you are. I'm 29. This is my third company, technically, I guess. It feels like one where I respect my cofounder 100%, which was an issue in the past with cofounders. And I don't know, this feels just like perfect for me. So like, I'm very anal about like, I just wanna make sure that I get the right investors. Like my last company, I raised \$2 million and I did like 30%.

And it was on horrible terms, like not just like valuation, but also just like other stuff we raised from Draper. And yeah, I don't know. I just really this one should. Like this, to me, this should easily be like a multi-billion dollar company. Um, either we get acquired by Meta for like billions of dollars, or we just become like a huge company in the future. And like, I don't want to fuck it up. So that's why I'm just so scared of like taking the wrong money.

So that's sort of where my, where my head's at right now. That's awesome. I love it. Well, yeah, let me digest and continue here, but this is awesome. It's great to hear your story. And yeah, this is great to meet you, man. Okay, cool. Do you have any other, I guess, do you have any questions or you think you just want to think about it and then talk it back to me later? Yeah, if I have more specific like technical questions, I'll just email them to you. And then nothing that I didn't cover already from the, in terms of questions.

Okay, and then what's the, um, how does your guys process work? Yeah, typically, like, I mean, so it depends on your timing. But like, we've, we've done deals within a week. And we've done them as late as like three weeks. That's our standard, like timing.

And then you've had you had Brandon and Patrick, both of them. I only talked to Patrick. I messaged Brandon because it's like StartX stuff, but I never called him. So Brandon does a ton of stuff with StartX. I guess the last part of our process is after our investment committee meeting is tomorrow.

And then Twan and Brandon are two of our other folks. They might just like grab some time with you to learn about like your vision, kind of where you want to be as an entrepreneur. Usually as like the like final like kind of check off. And then we can write checks between 500k and 3 million.

I think I emailed that to you. What do you think about the latter? Are you saying essentially that we should, like if I want to raise, my thought was to raise either 500k on 30, or just go straight to 1 to 2 million on 40. What do you think about? That because my goal is like, I don't want to raise, like, initially I was trying to raise five on 50, but I think that was like, I felt it was like hard to like jump directly to 50. So like,

What do you think? It depends on who wants to invest in you. And the other thing is you can decide to set your own terms or see what terms you're getting. If you have a couple of term sheets already and seeing what people are sharing, you kind of have the baseline.

And based on that, you can decide to kind of bump up your pricing and say like, okay, I take an offer. Typically, you see this out of YC where people set their own price. But if you want to do a ladder approach, you can say like, someone can give you an offer, you can counter and say like, hey, we have this much committed at this much, and now we're only taking new investors at this much, are you still interested? That's usually the best strategy to do the ladder.

Okay, cool. Yeah, I'm pretty, um, my thought is mostly just want to get like, I don't want to lose too much and I want to get the right people in. So like, I like I like this conversation. You seem really cool. Patrick's like a poker face. I couldn't tell at all.

Yeah, well Patrick's like a seasoned like 20 year Silicon VC. I'm like a It has been edited to include proper punctuation. Hopefully. Oh, that's cool. Let me give you my number if you're ever down in Boston. I mean, we're neighbors, right? Shoot me a text. I'd love to, yeah, grab drinks or grab dinner or something. Yeah, for sure. Yeah, it's great to meet you, man. It was a pleasure.

Let's see. Let me let me pull that number in. But, you know, for sure, I appreciate. I honestly could not. I like I just like I cannot read what his normally with investors. I can like sort of Patrick is that's right. He's good and like a little bit scary.

He's like the attack to explain, which is like he's got a poker face. It's like very hard to figure out if he likes. Very impressive, a bunch of impressive consumer deals that he's done, so. But I guess it requires that kind of discipline. I don't know. I don't really know how VCs do their thing.

Yeah, I don't know either. I'm like, I'm like on the spectrum So I'm always just like trying to see like a mindless my like misreading or something It was weird, but he seems he seems like genuine I just couldn't tell he is I could tell that he wasn't he wasn't letting me know what he thought which was like with you

Yeah, you're more like extroverted. Yeah, I have a great tell. I'm very bad at Texas Hold'em. Okay, this meeting is going to kick us off. I need to fix my Zoom, but it was great to meet you. For sure. Send me a text and then if you're ever down in Boston or New York, just let me know.

Awesome, see you, bye.

Meeting Notes

Founder Background

- Ori has extensive gaming background: high-level chess player, Call of Duty, Guild Wars 2, and professional League of Legends player (ages 19-21)
- Previously co-founded and became CEO of a caffeine spray company, raising \$2M from Draper Associates and CPG funds
- Stepped down as CEO about a year ago, handing company to mentor who was first employee at Juul
- Background includes creative work: youngest published playwright in Toronto at age 14, wrote multiple books in early 20s
- Currently part of StartX as one of few non-Stanford affiliated founders

Platform Overview

- Contest-based marketplace connecting brands with AI video creators for advertising content
- Launched Discord in November with zero users, now at 1,700 Discord members and 2,000+ total users
- Creators compete in ranked contests similar to competitive gaming, with gamification and leaderboard system
- Platform includes Creator Studio with image, video, upscaling capabilities; building motion capture and storyboarding tools
- Developing agentic tools to help newer creators produce quality content using templates of what works

Business Model & Traction

- Brands pay ~\$8,000 per contest for 20 winning ads; platform takes \$3,000 fee, \$5,000 goes to prize pool
- Worked with 7-8 brands including Obvi (\$100M women's supplement brand), Pixverse, Neurables, Fresh Clean Threads
- Target customers spend \$200,000+ monthly on paid ads, making \$8,000 for 20 ads an easy sell
- Projecting 2 contests per week this month, targeting \$600k-\$1M annualized revenue
- 70% conversion rate on warm intros to brands
- Planning to shift to rev-share model on ad performance, similar to Tube Science approach

Creator Economics & Retention

- Top creator (New York Robots) charges \$10k-\$20k for videos independently but competes for \$5k contests due to gamification and status
- Elo-based ranking system (bronze, silver, gold) restricts contest access by tier - bronze capped at \$2k contests, silver at \$5k, etc.
- Rankings determined by combination of peer review and meta ads performance data
- Peer review system: creators get 15 randomized videos daily to review, earn credits for participating
- Community is highly curated - team actively headhunts top creators from Discord, Reddit, and X rather than pursuing mass growth

Product Improvements & Learnings

- Recent Obvi contest received 150 submissions (previous high was 90) but brand spent 1.5-2 hours reviewing, found process painful
- Solution: increasing peer reviews, potentially using Mechanical Turk-style data labeling, and only showing brands top-ranked videos
- Moving away from brands reviewing all submissions to curated top 20, with optional next 10 in buckets
- Eventually will test top ads through meta ads themselves, paying for testing while brands commit to minimum spend

Vision & Differentiation

- Long-term goal: train AI agents to be creative by having them compete against humans in contests
- Creating highly structured data - every creation tied to specific contest, brand, messaging vs. unstructured platforms like Hugging Face
- Tracking full metadata: brand brief → creator storyboarding with agents → peer review → real-world ad performance
- Plan to introduce AI agents in contests (5 agents, 15 humans in 20-person contests) without creators knowing which is which
- Measure success when AI agents can beat human creators from bronze through gold tiers
- Believes only moat is community and brand loyalty, not tech tools which change constantly

Competitive Landscape

- Closest competitor is Superside (in-house agency model)
- Many UGC farms exist but focus on low-skill, saturated market
- Hundreds of AI ad companies trying to build self-serve workflows for brands - different approach from the contest/competition model

- Differentiation: competitive gaming-style ranked system generates far more human data points than self-serve tools

Customer Acquisition

- Multiple channels: contest host referrals (with discounts), agency partnerships (with revenue cuts), warm intros from Obvi founder
- Obvi founder (investor and major e-commerce figure) provides warm intros to brands
- Pre-creates high-quality videos using top creators before brand calls, achieving 70% conversion on warm intros
- Currently targeting brands spending \$200k+ monthly on ads (called "middle market")
- Working with brands like Obvi (\$300k-\$500k/month ad spend), Resident (\$1-2M/month), Fresh Clean Threads (\$500k-\$1M/month), Jack Link's (\$2B company)

Fundraising Strategy

- Raised \$150k in angel funding so far
- Previous offer: \$2M at \$30M cap but founder didn't want to take full round at that valuation
- Looking to raise \$5-6M total
- Angels include Mark Randolph (Netflix co-founder), Tejas from [build.ai](#), Max from Superpower, Eric from VREO
- Obvi founder is also an investor
- Nico Penazos from Verdict Capital wants to lead once his fund raises (has been in touch for 2 months)
- Considering ladderred SAFEs approach: potentially \$500k at \$30M or \$1-2M at \$40M valuation
- Plans to start formal fundraising at end of month after improving platform, lining up revenue, and identifying right partners

Next Steps

- [] Verdict Capital investment committee meeting (next day after this call)
- [] Twan and Brandon from Verdict Capital to meet with Ori about vision and entrepreneurial goals
- [] Ori to start formal fundraising process at end of month
- [] Prat and Ori to stay in touch; potential to meet in Boston/New York